## CITY ATTORNEY'S IMPARTIAL ANALYSIS OF MEASURE B

Measure B is the "City of Merced Vital Services Protection Measure." If approved by the voters, it would adopt a new local Transactions and Use Tax Ordinance (the "Sales Tax Ordinance"). Measure B would increase the City's existing sales tax rate by 1 %, or one cent, on every dollar of taxable sales of goods in the City, and on the taxable storage, use or consumption in the City of goods purchased.

The Measure would be a general tax, which means the tax revenue can be spent for all general City governmental purposes. The City estimates that the Measure will raise approximately $18,000,000 per year in new local revenue for use in the City. The City Council's adopted ballot question states this new revenue is for local purposes including 911 police, emergency medical, and natural disaster responses; responding quickly to neighborhood fires and retaining firefighters; youth services and gang prevention; addressing homelessness; fixing roads and potholes; and keeping parks safe and clean. The Sales Tax Ordinance would be in effect until ended by the voters. Measure B was placed on the ballot by a 6-1 vote of the City Council.

The revenue from the Sales Tax Ordinance would be collected by the State of California under a contract with the City, and the revenue will be paid over to the City. Accountability over revenue and expenditures from the Sales Tax Ordinance will be provided through the City's budget process and annual independent audit, which are available to the public. Financial information also is disclosed to the public in the City's Annual Comprehensive Financial Report and other public documents. The total sales tax rate paid in Merced, which includes the sales tax collected for the State of California, Merced County, and other public agencies, is 8.25% now. There is an existing 1/2 cent sales tax in effect in the City, which is a special tax and is not affected by the proposed Measure. If the Measure is approved by the voters, the total sales tax rate paid in the City would be 9.25%, subject to any changes in state law. Sales tax is not collected on items such as prescription medications or food bought as groceries.

The California Constitution requires that this proposed general tax be approved by a majority of the voters voting on the Measure. A "yes" vote on Measure B is to adopt the Sales Tax

Ordinance. A "no" vote on Measure B is to not adopt the Sales Tax Ordinance.

/s/ Craig J. Corwell, Merced City Attorney